

26NNCP00434 26NNCP00434

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Case Number: 26NNCP00434 Hearing Date: August 31, 2026 Dept: V

Superior Court of California

County of Los Angeles – NORTHEAST District

Department

V

CITY OF SAN GABRIEL, a California

municipal corporation,

Petitioner,

vs.

YAN YU, as Trustee of the Yan Yu

Trust; JIA HUI CONG, an individual; EAST WEST INVESTMENT, INC., a California

corporation; SUNRISE 3, LLC, a Delaware limited liability corporation; LANCER

INVESTMENTS, LLC, a California limited liability company; MERASTAR INDUSTRIES

LLC, a Delaware limited liability company; STATE OF CALIFORNIA, acting by and

through its Department of Industrial Relations; STATE OF CALIFORNIA, acting

by and through the Franchise Tax Board; and DOES 1 TO 25, inclusive,

Respondents.

Case

No.:

26NNCP00434

Hearing

Date:

August

31, 2026

Time:

8:30 a.m.

[Tentative]

Order RE: CITY OF SAN GABRIEL'S PETITIONER FOR ORDER TO ABATE

SUBSTANDARD BUILDING AND APPOINTMENT OF RECEIVER

MOVING PARTY: Petitioner City of San Gabriel

RESPONDING PARTY: None.

The Court

considered the moving papers filed in connection with the instant motion.

BACKGROUND

On July 10, 2026, Petitioner

City of San Gabriel filed this petition for order to abate substandard building and appointment of receiver against Respondents Yan Yu ("Yu"), Jia Hui Cong ("Cong"), East West Investment, Inc. ("East West"), Sunrise 3 LLC ("Sunrise 3"), Lancer Investments, LLC ("Lancer"), Merastar Industries LLC ("Merastar"), and the State of California (the "State") (collectively, "Respondents").

On August 19, 2026, the

Court entered default as to Merastar.

As of August 25, 2026,

the petition is unopposed.

FACTUAL BACKGROUND

Cong holds title to the real property located

at 904 S. Del Mar, San Gabriel, California 91776, APN 5368-027 008 (the

"Subject Property"), pursuant to

a Grant Deed recorded on February 27, 2015, as Document No. 20150219919, along

with Yu, pursuant to a Grant Deed recorded on June 1, 2021, as Document No.

20210869900. (Heath Decl., ¶ 3, Exhs. A-B.) East West holds a recorded interest

in the Subject Property pursuant to a Deed of Trust recorded on February 27,

2015, as Document No. 2015-0219920. (Heath Decl., ¶ 4, Exh. C.) Sunrise 3 holds

a recorded interest in the Subject Property pursuant to the UCC Financing

Statement recorded on February 13, 2018, as Document No. 20180147325. (Heath

Decl., ¶ 5, Exh. D.) Lancer holds a recorded interest in the Subject Property pursuant to an Abstract of Judgment recorded on October 29, 2025, as Document No. 20250753010. (Heath Decl., ¶ 6, Exh. E.) Alliance United Insurance Company ("Alliance") holds a recorded interest in the Subject Property pursuant to an Abstract of Judgment recorded on November 20, 2017, as Document No. 20171334627. (Heath Decl., ¶ 7, Exh. F.) Merastar is Alliance's successor in interest pursuant to a Certificate of Merger filed with the California Secretary of State on September 12, 2025. (Health Decl., ¶ 8, Exh. G.) The State holds a recorded interest in the Subject Property pursuant to the Certificate of Lien recorded February 25, 2020 as Document No. 20200220830 and pursuant to the State Tax Liens recorded on March 26, 2024 as Document No. 20240190884 and October 10, 2024 as Document No. 20240692004. (Health Decl., ¶¶ 9-10, Exhs. H-J.)

The Subject Property has been subject to numerous code enforcement investigations since October 2024, and contains the following substandard conditions: unpermitted construction in the main dwelling, garage and rear yard of the Subject Property; rubbish, discarded furniture and various household equipment visible from public right-of-way and/or adjoining property; junk, trash and debris scattered over property; lack of property maintenance; and lack of necessary permits and business license. (Ayub Decl., ¶¶ 2-18.)

On October 24, 2024, the

San Gabriel Police Department responded to the Subject Property and issued a first

Notice of Violation based on observations of (1) multiple violations of section

105.1 of the California Building Code ("CBC") resulting from the Owners'

failure to obtain the required permits for the Unpermitted Construction; (2)

San Gabriel Municipal Code ("SGMC") section 110.02 resulting from the Owners'

failure to obtain the required business license for the operation of a short

term rental property; (3) SGMC section 153.020 for performing Unpermitted

Construction in violation of the Use of Buildings and Land in Established

Zones; and (4) SGMC section 153.031 for the Owners' use of the Subject Property

beyond the use permitted by its Single Family Residence zoning designation.

(Ayub Decl., ¶¶ 2-4, Exh. L.) The Notice of Violation directed Yu and Cong to

cease short-term rental of the Subject Property, obtain an Investigation

Inspection Permit, and schedule an inspection by October 30, 2024. (Ayub Decl.,

¶ 4, Exh. L.)

Yu and Cong did not

comply with the Notice of Violation and a second Notice was issued on November

6, 2024. (Ayub Decl., ¶ 5, Exh. M.) Yu and Cong remained noncompliant and third, fourth, and fifth Notices were issued.

(Ayub Decl., ¶¶ 6-8, Exhs. N-P.) On February 26, 2025, Code Enforcement

Supervisor Aldo Ayub ("Ayub") spoke with Yu, provided her all previously sent

notices, and granted her a two-week extension to obtain a lawyer. (Ayub Decl., ¶ 9.)

On March 18, 2025, Ayub

attempted to contact Yu by phone unsuccessfully. (Ayub Decl., ¶ 10.)

Subsequently, Ayub posted a Code Enforcement Notification on the Subject

Property describing the unabated code violations and directed compliance by

April 1, 2025. (Ayub Decl., ¶ 11, Exh. Q.) Ayub also issued multiple

administrative citations and compliance letters requesting inspections on Yu

and Cong for the unabated code violations. (Ayub Decl., ¶¶ 12-13. Exhs. R-S;

Heath Decl., ¶¶ 11-12, Exhs. T-U.) Ayub sent Yu and Cong a Notice of Inspection

of Property, but when Ayub arrived at the Subject Property on the listed date,

the occupants refused to allow Ayub to enter. (Ayub Decl., ¶ 14, Exh. V.)

However, from the public right-of-way, Ayub saw that the garage had been

converted into a habitable living space and observed an unpermitted structure

in the rear of the Subject Property. (Ayub Decl., ¶ 14, Exh. W.)

On December 10, 2025,

Ayub and the City's Building Official, Christopher Kalbaklian, three

detectives, and an officer from the San Gabriel Police Department executed an

Inspection Warrant issued on the Subject Property and found additional

unpermitted walls, an illegally added bedroom, drywall, and new flooring in the

garage, indications that interior walls had been removed and attempts had been made to restore the garage to its original condition, a large unpermitted structure next to the garage that was in the process of being demolished, and construction debris. (Ayub Decl., ¶ 16, Exh. Y.)

On March 5, 2025, Ayub posted a Notice and Order to Repair or Abate on the Subject Property. (Ayub Decl., ¶ 17, Exh. AA.) Despite these attempts, all violations identified continue to exist and no action has been taken to abate any of the violations. (Ayub Decl., ¶ 18.)

LEGAL STANDARD

Health and Safety Code section 17980.7, subdivision (c)(1) states that an “enforcement agency, tenant, or tenant association or organization may seek and the court may order, the appointment of a receiver for the substandard building pursuant to this subdivision. In its petition to the court, the enforcement agency, tenant, or tenant association or organization shall include proof that notice of the petition was posted in a prominent place on the substandard building and mailed first-class mail to all persons with a recorded interest in the real property upon which the substandard building exists not less than three days prior to filing the petition.” “If any building is maintained in a manner that violates any provisions of this part, the building standards published in the State Building Standards Code..., or any provision in

a local ordinance that is similar..., and the violations are so extensive and of such a nature that the health and safety of residents or the public is substantially endangered, the enforcement agency may issue an order or notice to repair or abate pursuant to this part.” (Health & Saf. Code, § 17980.6.)

If a property owner does not address the issues in the notice within a reasonable time, the enforcement agency “may seek and the court may order, the appointment of a receiver for the substandard building pursuant to this subdivision....” (Health & Saf. Code, § 17980.6, subd. (c).) A property that contains structural hazards or inadequate sanitation that “endangers the life, limb, health, property, safety, or welfare of the occupants of the building, nearby residents, or the public shall be deemed and hereby is declared to be a substandard building.” (Health & Saf. Code, § 17920.3.)

“The appointment of a receiver is a drastic remedy” such that the Court must “carefully weigh the propriety of such appointment in exercising [its] discretion to appoint a receiver particularly if there is an alternative remedy.” (Barclays Bank of California v. Superior Court (1977) 69 Cal.App.3d 593, 597, quotation marks omitted.) Indeed “courts are strongly discouraged—although not strictly prohibited—from appointing a receiver unless the more intrusive oversight of a receiver is a necessity because other, less intrusive remedies are either inadequate or unavailable.” (Medipro Medical

Staffing LLC v. Certified Nursing Registry, Inc. (2021) 60 Cal.App.5th

622, 628, quotation marks omitted.) “In appointing a receiver, the court shall

consider whether the owner has been afforded a reasonable opportunity to

correct the conditions cited in the notice of violation.” (Health & Saf.

Code, § 17980.7, subd. (c)(1).

DISCUSSION

Petitioner moves for an order

appointing a receiver and to abate the allegedly substandard building.

Petitioner, in its capacity as the

City of San Gabriel, qualifies as an enforcement agency that may seek court

order and appointment of a receiver pursuant to Health and Safety Code

section 17980.7, subdivision (c)(1). Petitioner demonstrates that that notice

was provided to Respondents by placing prominently the Notice and Order to Repair or Abate on the door to the Subject Property.

(See Ayub Decl., ¶ 17, Exh. AA.) Further, Petitioner has filed proof of service

of the petition on all Respondents.

Petitioner demonstrates that the

Subject Property’s condition violates multiple statutory codes and local

ordinances. “Any building or portion thereof, regardless of zoning designation

or approved uses of the building” in which there exists any condition “that

endangers the life, limb, health, property, safety, or welfare of the occupants

of the building, nearby residents, or the public shall be deemed and hereby is declared to be a substandard building.” (Health & Saf. Code, § 17920.3.) “[A] city council may, by ordinance, declare what it deems to constitute a public nuisance.” (City of Monterey v. Carrnshimba (2013) 215 Cal.App.4th 1068, 1086.) California Building Code section 105.1 requires a person to obtain a building permit before constructing, altering, converting, or demolishing any building.

Similarly, San Gabriel Municipal Code (“SGMC”) section 153.020 provides that alterations, reconstruction, and enlargements of buildings must comply with city guidelines. During the inspection, Ayub found unpermitted walls, an illegally added bedroom, drywall, and new flooring in the garage, indications that interior walls had been removed and attempts had been made to restore the garage to its original condition, a large unpermitted structure next to the garage that was in the process of being demolished, and construction debris.

(Ayub Decl., ¶ 16, Exh. Y.) Next, SGMC section 110.2 requires a business license to operate a short-term rental. SGMC section 153.031, subdivision (B)(1) states that accessory dwelling units shall not be operated commercially.

Despite numerous notices of violation and administrative citations, the Subject Property continues to be used as a short-term rental and a large unpermitted structure next to the garage existed. (Ayub Decl., ¶¶ 4-18.) SGMC section 153.031, subdivision (C)(2)(b) states that “[n]o home occupation shall generate

any traffic, parking, sewage, or water use in excess of what is normal for residential use." The Subject Property has rubbish, discarded furniture and various household equipment visible from public right-of-way and/or adjoining property, junk, trash and debris scattered over property, and a general lack of property maintenance. (Ayub Decl., ¶ 2.) Additionally, Petitioner, a city, has found that the Subject Property qualifies a public nuisance. Therefore, the Subject Property exists in violation of numerous ordinances and codes and is a substandard building within the definition of Health and Safety Code section 17920.3.

The Court finds that Respondents have been afforded a reasonable opportunity to correct the conditions. Ayub issued upon the Subject Property five notices of violation, spoke with Yu directly and provided her with physical notices, attempted to contact by phone call, posted a code enforcement notification, issued multiple administrative citations, a notice of property inspection, inspection warrant, and notice and order to repair or abate prior to Petitioner bringing the instant petition.

(Ayub Decl., ¶¶ 3-17.)

The Court grants the petition for order to abate substandard building and appointment of receiver. The Court has reviewed Petitioner's nomination of Jackson Wyche and his curriculum vitae,

qualifications, and background, and finds Wyche acceptable as a receiver for the Subject Property.

Petitioner requests attorneys' fees

in connection with the instant petition. Health and Safety Code section

17980.7, subdivision (c)(11) states that the "prevailing party in an action

pursuant to this section shall be entitled to reasonable attorney's fees and

court costs as may be fixed by the court." Petitioner provides no metric for

the Court to determine the amount of reasonable attorneys' fees and declines to

award attorneys' fees on that basis.

CONCLUSION

Based on the foregoing, the Court GRANTS Petitioner City of San

Gabriel's petition for order to abate

substandard building and appointment of receiver.

Moving party is ordered to give notice of this ruling.

IT IS SO ORDERED.

DATED: August 31, 2026

Sarah

J. Heidel

Judge

of the Superior Court